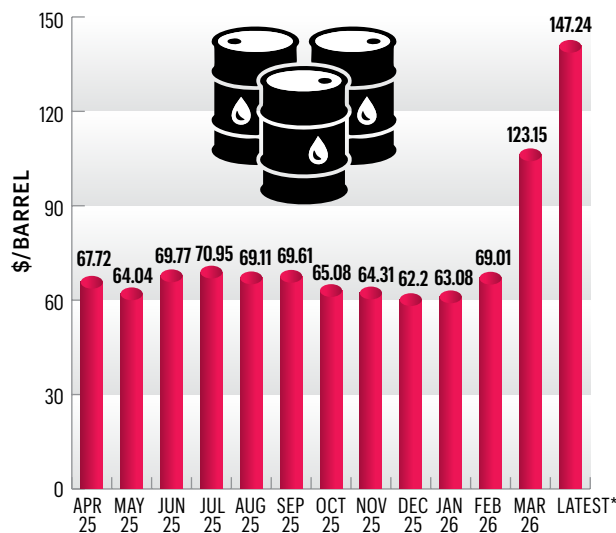


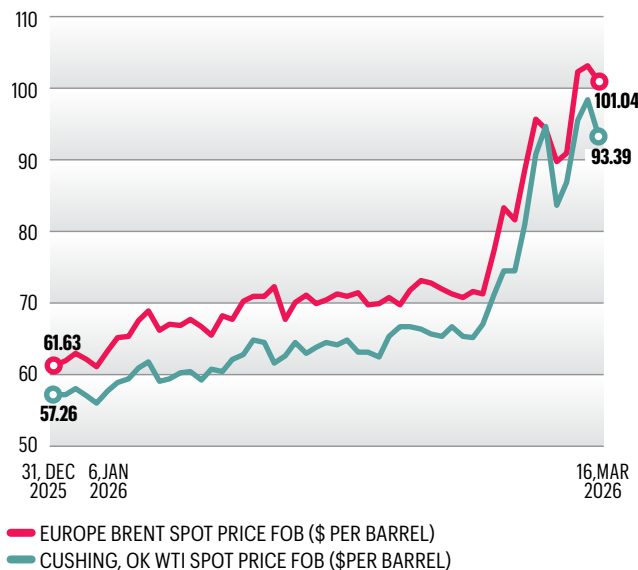
CRUDE SURGE

INDIAN BASKET OF CRUDE OIL (2025-26)



*AS ON MARCH 24 **SOURCE** PPAC

BRENT AND WTI CRUDE OIL SPOT PRICES



SOURCE EIA.GOV

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ently across segments.

“This is the biggest challenge for India. LPG is a by-product of crude oil; and just 4-5% of crude processed becomes LPG. While India is surplus in refining crude oil, domestic production of LPG is just about 35% of our requirements,” he says. About 90% of our LPG is consumed by households. To make matters worse, almost 90% of our LPG imports come through Hormuz, though India is now diversifying LPG sourcing.

In LNG and natural gas, about 50% is domestically produced. Of the imports, 60% pass through the Strait. Gas supply to urea plants is likely to be curtailed, but for now, India has adequate urea stocks, he says, and Indian urea producers have advanced their annual maintenance. “I don’t think urea will be an immediate concern unless the war continues for long,” he says. But gas-based petrochemical industries will be hard-pressed, he warns.

India’s reliance on imports for crude oil is well known, and while India has largely diversified its supplies in recent years, West Asia still caters to a substantial chunk of our resources, he says.

For now, the economic fallout of this crisis is somewhat contained in the short term, but if the war gets pro-

longed, all bets will be off. “We have improved our economic resilience and are in a much better situation than in the past due to our policy choices. Economic growth is robust, fiscal and current account deficits are contained, inflation is low and bank balance sheets are much stronger today,” says DK Joshi, Chief Economist, Crisil, pointing out that even with the US tariffs, the Indian economy performed much better with an improved growth-inflation mix. GDP is estimated to grow 7.6% in FY26 and between 7.1% and 7.4% in FY27.

Joshi says the impact of the conflict on GDP growth in the fourth quarter of FY26 will be marginal given that it started on February 28. “Inflation and industrial production data will have to be monitored for March,” he says.

However, several agencies have begun scaling down India’s GDP estimates. Goldman Sachs has lowered India’s GDP growth forecast for 2026 to 5.9%, from 7% before the conflict. Emkay Global Financial Services has trimmed its FY27 GDP growth estimate by 0.4 percentage points to 6.6% and raised inflation and current account deficit estimates to 4.3% and 1.7%, respectively.

The finance ministry, while seeking Parliamentary approval for ₹57,381 crore towards a ₹1 lakh crore Economic